

**Auditor's Report and
Audited Financial Statements
of
Bangladesh Infrastructure Finance Fund Limited
For the period ended 31 December 2018**

Independent Auditor's Report
To the Shareholders of Bangladesh Infrastructure Finance Fund Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Bangladesh Infrastructure Finance Fund Limited (the Company) , which comprise the balance sheet as at 31 December 2018 and the profit and loss accounts, statement of changes in equity and cash flow statements for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 December 2018, and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) as explained in note 2.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for *the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in Bangladesh and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code & the Institute of Chartered Accountants of Bangladesh (ICAB) Bye-Laws. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.



Head	Key Audit Matters	Our response to the risk
Investments	<u>Classification</u> The classification and measurement of these instruments require judgement and complex estimates.	We assessed the processes and controls put in place by the Company to identify and confirm the classification & existence of financial instruments.
	The recognition, measurement and disclosure for these instruments are stringently specified by various Bangladesh Bank's Circular which results in departures from IFRSs as explained in note 2.01.01.	We obtained an understanding, evaluated the design and tested the operating effectiveness of the key controls over the financial instrument accounting procedures.
	The Company's disclosures relating to Investments are disclosed in note 2.01.01, 2.07.02 & 6 of the financial statements.	Finally assessed the appropriateness and presentation of disclosures against relevant accounting standards and Bangladesh Bank guidelines.
Loans & Advances	<u>Classification & Provisioning</u> The classification & provisioning of loans & advances are determined by specific Bangladesh Bank's circulars which have wide ranging effect on the financial position and performance of the FI, namely through provisioning requirements. The process for estimating the provision for loans and advances portfolio associated with the credit risk is significant & complex. At year end the Company reported total loans and advances of BDT 16,977,708,408 (2017: BDT 10,719,748,885) and provision for loans and advances of BDT 433,617,842 (2017: BDT 184,376,414). The calculation of RWA (Risk Weighted Assets) is, to some extent, dependent on the classification of loans and advances which ultimately impact the CAR (Capital Adequacy Ratio) – a significant indicator of FI's health under the BASEL – II regime.	We tested the design and operating effectiveness of key controls focusing on the following: - the credit appraisal, loan disbursement procedures, monitoring and provisioning process; - Identification of loss events, including early warning and default warning indicators; - Reviewed quarterly Financial Institution Classification of Loans (CL) Statement; Furthermore we have assessed on test basis the loan application receipt, assessment, documentation and authorization process against Company's policy and Bangladesh Bank's requirements. Legal expert's views regarding securitization of the loans has also been considered.



	Furthermore the recognition and measurement of these Loans & Advances are dictated by Bangladesh Bank's circulars namely FID circular No. 08 dated 03 August 2002 , FID Circular No. 03 dated 03 May 2006, FID Circular No. 05 dated 18 July 2006, FID Circular No. 06 dated 20 August 2006, FID Circular No. 02 dated 05 May 2007 and DFIM Circular No. 04 dated 28 June 2007 respectively which limits the fair implementation of respective IFRSs. The Company's disclosures relating to loans & advances are included in note 2.01.02, 2.01.12, 2.07.03 & 07.	As part of our process we have reviewed the loan files, bank statements, and its provisioning requirements. Our substantive procedures in relation to the provision for loans and advances portfolio comprised the following: - Reviewed the adequacy of the companies general and specific provisions; - Assessed the methodologies on which the provision amounts based, recalculated the provisions and tested the completeness and accuracy of the underlying information; Finally assessed the appropriateness and presentation of disclosures against relevant accounting standards and Bangladesh Bank guidelines.
Borrowings from Banks, other Financial Institutions and Agents	<u>Valuation</u> Borrowings from banks, other financial institutions and agents by Bangladesh Infrastructure Finance Fund Limited (BIFFL) as at 31 December 2018 stood at Tk. 2,461,178,639 against Tk. 3,473,688 as at 31 December 2017. This reflects an increase of Tk. 2,457,704,951 or 70,752 times as compared to last year. The material change in the balance of Borrowings from banks, other financial institutions and agents was due to the disbursement of loan from JICA (Japan International Cooperation Agency) under a sub-loan agreement with the Government of the People's Republic of Bangladesh & BIFFL which amounted to Tk. 1,433,446,875. This represents 41,266% of the total change under this head. In	We assessed the system of internal control over Secured Overdraft & Short Term Loan and Borrowing from EECFPF JICA Loan. We have performed analytical procedures on average balances and interest expenses to assess the reasonableness of the recorded balances. We also considered receipt of Bangladesh Bank's Documents & subsequent disbursement of fund from Bangladesh Bank to confirm the balance of EECFPF JICA Loan. We substantially recalculated the interest expenses for Secured Overdraft & Short



	addition, the balances of Secured Overdraft & Short Term Loan stood at Tk. 811,320,935 which represents 23,356% of the total change under this head. Due to the substantial increase in these balances, loan from JICA and Secured Overdraft & Short Term Loan was considered significant to our audit. The Company's disclosures relating to Borrowings from Banks, other financial institutions and agents are disclosed in note 12 of the financial statements.	Term Loan and Borrowing from EECPPF JICA during the year. We determined whether Borrowings from banks, other financial institutions and agents are classified in accordance with regulations and relevant accounting principles.
IT systems and controls	Our audit procedures have a focus on IT systems and controls due to the pervasive nature and complexity of the IT environment, the large volume of transactions processed and the reliance on automated and IT dependent manual controls. The Company's disclosures relating to its IT systems and controls are included in note 2.17 of the financial statements.	Our firm's own IT Specialist tested the design and operating effectiveness of the Company's IT access controls over the information systems that are critical to financial reporting. We tested IT general controls (logical access, changes management and aspects of IT operational controls). This included testing that requests for access to systems were appropriately reviewed and authorized. We tested the Company's periodic review of access rights. We inspected requests of changes to systems for appropriate approval and authorization. We considered the control environment relating to various interfaces, configuration and other application layer controls identified as key to our audit. Where deficiencies were identified, we tested compensating controls or performed alternate procedures. In addition, we understood where relevant, changes were made to the IT landscape during the audit period and tested those changes that had a significant impact on financial reporting.



Legal & Regulatory Matters	We focused on this area because the Company operates in a legal and regulatory environment that is exposed to significant litigation and similar risks arising from disputes and regulatory proceedings. Such matters are subject to many uncertainties and the outcome may be difficult to predict. Significant Legal & Regulatory matters pertaining to the Company were: • Compliance of rules & regulations, including submission of returns to various regulators; and • Litigation (cases) filed on behalf of or against the Company including any provisioning requirements. These uncertainties inherently affect the amount and timing of potential outflows with respect to the provisions which have been established and other contingent liabilities. Overall, the legal provision represents the Company's best estimate for existing legal matters that have a probable and estimable impact on the Company's financial position. The Company's disclosures relating to its legal & regulatory compliance are included in note 2.18 of the financial statements.	We obtained an understanding, evaluated the design and tested the operational effectiveness of the Company's key controls over the legal provision and contingency process. We enquired to those charged with governance to obtain their view on the status of all significant litigation and regulatory matters. We enquired of the Company's internal legal counsel for all significant litigation and regulatory matters and inspected internal notes and reports. We assessed the methodologies on which the provision amounts are based, recalculated the provisions, and tested the completeness and accuracy of the underlying information.
IPO	<u>Listing requirements</u> As per BSEC (Bangladesh Securities and Exchange Commission) notification no. SEC/CMRRCD/2006-159/36/Admin/03-44 dated 05 May 2010 and BIFFL's communication with BSEC vide their letter no. BIFFL/CEO/1.14.3/408 dated 08 November 2017, the Company intends to start the process of raising capital/ fund through initial public offerings (IPO) in 2018.	We have obtained an understanding of the IPO listing requirements as applicable for the Company. Furthermore we have reviewed the key correspondences between BIFFL and BSEC relating to IPO as well as management's plan for public listing.



As per the Notification, it is mandatory for BIFFL to commence its IPO application process which has wide ranging implications for the Company as a whole. Furthermore, there are stringent compliance and reporting requirements for companies seeking listing with the stock exchanges. Given the significance of the event and the compliance requirements, the listing requirements were considered significant to our audit. The Company's disclosures relating to its listing requirements are included in note 38 to the financial statements.	Finally, we have also carried out preliminary assessment of the disclosure requirements applicable for BIFFL pertaining to public listing.
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Materiality

The scope of our audit was influenced by materiality point of view. We set certain quantitative thresholds for materiality. These together with qualitative considerations, helped us to determine the scope of our audit and the nature, timing and extent of our audit procedures on the individual financial statement line items and disclosures and in evaluating the effect of misstatements, both individually and in aggregate on the financial statements as a whole.

Based on our professional judgment, we determined materiality for the financial statements as a whole as follows:

	Company's financial statements
Overall materiality	Tk. 255,890,204 (2017: Tk. 238,090,4414)
How we determined it	1% of average total asset of the last 5 years
Rational for benchmark applied	Based on the benchmarks used, profit or loss before tax is a key measure used by the shareholders in assessing the performance of the company, and is a generally accepted auditing benchmark. Bangladesh Infrastructure Finance Fund Limited (BIFFL) was incorporated in 21 March 2011. However, it first disbursed its loans from 2014 onwards and is still in its development stage. Given the aforementioned limitation, profitability of the Company does not reflect its true operations. As such total assets of the Company have been taken as the base in determining the overall materiality for the Company.



Performance materiality is the application of materiality at the individual account or balance level. It is set at an amount to reduce to an appropriate low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality.

On the basis of our risk assessments together with our assessment of the Company's overall control environment, our judgement was that performance materiality was 75% (2017:75%) of our planning materiality namely Tk. 191,917,653 (2017: Tk. 178,567,810). We have set performance materiality at this percentage due to our previous experience as auditors of the Company from which we concluded that there is a lower expectation of material financial statement inaccuracies due to the Company's limited business nature and only minor audit differences resulting from our prior and current year work. Our approach is consistent with prior year.

Other Information

Management is responsible for the other information. The other information comprises all of the information in the Annual Report other than the financial statements and our auditors' report thereon. The Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, on the other information obtained prior to the date of this audit report, we conclude that there is a material misstatement of this other information, we are required to report that fact.

Responsibilities of Management and Those Charged with Governance for the Financial Statements and Internal Controls

Management is responsible for maintenance of the required books of accounts & records and preparation and fair presentation of the financial statements of the Company in accordance with IFRSs as explained in note 2, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. The Financial Institutions Act, 1993 & the Bangladesh Bank Regulations require the Management to ensure effective internal audit, internal control and risk management functions of the Company. The Management is also required to make a self-assessment on the effectiveness of anti-fraud internal controls and report to Bangladesh Bank on instances of fraud and forgeries.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosed in note 2.03.01, as applicable, matters related to going concern



and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.



We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other Legal and Regulatory Requirements

In accordance with the Companies Act, 1994, the Financial Institutions Act, 1993 and the rules and regulations issued by Bangladesh Bank, we also report that:

- (i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit and made due verification thereof;
- (ii) to the extent noted during the course of our audit work performed on the basis stated under the Auditor's Responsibility section in forming the above opinion on the financial statements of the Company and considering the reports of the Management to Bangladesh Bank on anti-fraud internal controls & instances of fraud and forgeries as stated under the Management's Responsibility for the financial statements and internal controls:
 - a. internal audit, internal control & risk arrangements of the Company as disclosed in the financial statements appeared to be materially adequate; and
 - b. nothing has come to our attention regarding material instances of forgery or irregularity or administrative error and exception or anything detrimental committed by the employees of the Company;
- (iii) in our opinion, proper books of accounts as required by law have been kept by the Company so far as it appeared from our examination of those books;
- (iv) the expenditures incurred were for the purpose of the Company's business for the year;
- (v) the financial statements of the Company have been drawn up in conformity with prevailing rules, regulations and accounting standards as well as related guidance issued by Bangladesh Bank;
- (vi) adequate provisions have been made for loans, advances, leases, investment and other assets which are, in our opinion, doubtful of recovery;
- (vii) we have reviewed over 80% of the risk weighted assets of the Company and we have spent around 1,848 person hours for the audit of the books and accounts of the Company;
- (viii) Capital Adequacy Ratio (CAR) as required by Bangladesh Bank has been maintained adequately during the year.

Dhaka,
21 February 2019



Syful Shamsul Alam & Co.
Syful Shamsul Alam & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Ltd.

Balance Sheet

As at 31 December 2018

Particulars	Notes	Amount in Taka	
		31-Dec-18	31-Dec-17
PROPERTY AND ASSETS			
Cash	3	33,864,283	41,297,117
In hand (including foreign currencies)		118,796	100,566
Balance with Bangladesh Bank and its agents (including foreign currencies)		33,745,487	41,196,551
Balance with other banks and financial institutions	4	7,831,274,161	9,402,286,152
Inside Bangladesh		7,831,274,161	9,402,286,152
Outside Bangladesh		-	-
Money at call and short notice	5	-	60,000,000
Investments	6	1,563,443,964	2,497,603,687
Government		-	-
Others		1,563,443,964	2,497,603,687
Leases, loans and advances	7	16,977,708,408	10,719,748,885
Bills purchased and discounted	8	-	-
Fixed assets including premises, furniture and fixtures	9	306,645,408	266,993,173
Other assets	10	3,435,717,904	2,834,455,153
Non-financial institutional assets	11	-	-
TOTAL PROPERTY AND ASSETS		30,148,654,129	25,822,384,167
LIABILITIES AND SHAREHOLDER'S EQUITY			
Liabilities			
Borrowings from banks, other financial institutions and agents	12	2,461,178,639	3,473,688
Deposits and other accounts	13	-	-
Current deposits and other accounts		-	-
Bills payable		-	-
Savings deposits		-	-
Term deposits		-	-
Bearer certificate of deposit		-	-
Other deposits		-	-
Other liabilities	14	4,365,037,689	3,174,767,054
Total Liabilities		6,826,216,327	3,178,240,742
Capital/Shareholders' equity		23,322,437,802	22,644,143,424
Paid up capital	15	21,080,000,000	20,590,000,000
Statutory reserve	16	1,568,487,560	1,402,828,685
Other reserve	17	-	-
Retained earnings	18	673,950,242	651,314,740
TOTAL LIABILITIES AND SHAREHOLDER'S EQUITY		30,148,654,129	25,822,384,167



Particulars	Notes	Amount in Taka	
		31-Dec-18	31-Dec-17

OFF-BALANCE SHEET ITEMS :

Contingent liabilities

Acceptances and endorsements
Letter of guarantee
Irrevocable letter of credit
Bills for collection
Other contingent liabilities

-	-
-	-
-	-
-	-
-	-
-	-

Other commitments

Documentary credits and short term trade-related transactions
Forward assets purchased and forward deposits placed
Undrawn note issuance and revolving underwriting facilities
Undrawn formal standby facilities, credit lines
Others

-	-
-	-
-	-
-	-
-	-
-	-

TOTAL OFF-BALANCE SHEET ITEMS INCLUDING CONTINGENT LIABILITIES

-	-
-	-

The annexed notes form an integral part of these financial statements.


Chief Financial Officer


Company Secretary

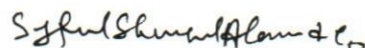

Executive Director & CEO


Director


Chairman

Signed in terms of our separate report of even date annexed.

Dated, Dhaka
February 21, 2019


Syful Shamsul Alam & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Limited
Profit and Loss Account
For the year ended 31 December 2018

Particulars	Notes	Amount in Taka	
		31-Dec-18	31-Dec-17
Operating Income			
Interest income from leases, loans and advances	20	1,132,242,764	748,241,004
Less: Interest expenses on deposits & borrowings etc	21	32,411,434	3,232,010
Net interest income		1,099,831,331	745,008,995
Investment income	22	88,050,697	175,222,608
Commission, exchange and brokerage		-	-
Other operating income	23	815,591,322	729,908,798
Total operating income		2,003,473,349	1,650,140,401
Operating Expenses			
Salary and allowances	24	47,539,659	39,034,424
Rent, taxes, insurance, electricity etc.	25	5,867,323	3,663,665
Legal expenses	26	1,330,400	728,641
Postage, stamp, telecommunication etc.	27	1,707,532	1,553,885
Stationery, printing, advertisement etc.	28	14,634,009	4,956,661
Managing Director's salary and allowances	29	10,252,610	9,555,876
Directors' fees	30	1,348,024	1,257,088
Auditors' fees	31	368,000	120,050
Charges on loan losses		-	-
Depreciation and repairs of company's assets	32	40,861,386	38,826,235
Other operating expenses	33	31,798,141	26,104,871
Total operating expenses		155,707,083	125,801,396
Profit before provision		1,847,766,266	1,524,339,005
Provision for investment, leases, loans and advances	34	249,241,429	80,858,449
Provision for diminution in value of investments		-	-
Other provision		-	-
Total provision		249,241,429	80,858,449
Total profit before income tax		1,598,524,837	1,443,480,556
Provision for income tax	35	770,230,459	639,373,258
Net profit after tax & provision		828,294,378	804,107,298
Appropriations			
Statutory reserve	16	165,658,876	160,821,460
Retained surplus		662,635,502	643,285,838
Earnings per share (Restated)	36	3.93	3.81

The annexed notes form an integral part of these financial statements.







Chief Financial Officer Company Secretary Executive Director & CEO Director Chairman

Signed in terms of our separate report of even date annexed.

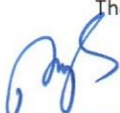
Dated, Dhaka
 February 21, 2019

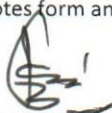

 Syful Shamsul Alam & Co.
 Chartered Accountants

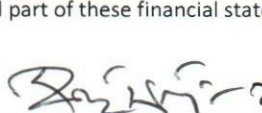
Bangladesh Infrastructure Finance Fund Limited
Statement of Cash Flows
For the year ended 31 December 2018

Particulars	Amount in Taka	
	31-Dec-18	31-Dec-17
A. Cash flow from operating activities:		
Interest received	1,104,919,764	748,241,004
Interest paid	(28,740,123)	(3,230,562)
Dividend received	40,299,874	46,918,668
Interest received from commercial paper & bond	60,473,991	140,257,766
Cash paid to employees	(58,890,120)	(49,091,705)
Cash paid to suppliers	(22,196,851)	(12,015,796)
Income taxes paid	(619,980,669)	(397,143,090)
Received from other operating activities	800,001,741	748,123,755
Paid for other operating activities	(31,798,141)	(26,104,871)
Cash generated from operating activities	1,244,089,468	1,195,955,169
Increase/(decrease) in operating assets and liabilities,		
Statutory deposits		
Loans and advances to other banks	-	-
Loans and advances to other customers	(6,230,636,523)	(2,929,383,749)
Other assets	21,028,241	(21,089,193)
Borrowings from banks, financial institutions and agents	2,457,704,951	(911,840)
Deposits from other banks/borrowings	-	-
Other liabilities	(966,129)	(3,375,000)
	(3,752,869,460)	(2,954,759,782)
Net cash used in operating activities	(2,508,779,993)	(1,758,804,613)
B. Cash flow from investing activities:		
Purchase of property, plant and equipment	(78,088,107)	(7,407,712)
Investment/Proceed from securities	948,423,275	7,941,102
Net cash from/(used in) investing activities	870,335,168	533,390
C. Cash flow from financing activities:		
Dividend paid	-	(150,000,000)
Issuance of shares	-	-
Net cash used in financing activities	-	(150,000,000)
D. Net increase/(decrease) in cash and cash equivalents (A+B+C)	(1,638,444,824)	(1,908,271,223)
E. Effects of exchange rate changes on cash and cash equivalents	-	-
F. Cash and cash equivalents at beginning of the year	9,503,583,269	11,411,854,492
G. Cash and cash equivalents at end of the year (D+E+F)	7,865,138,445	9,503,583,269
Cash and cash equivalents		
Cash in hand	118,796	100,566
Balance with Bangladesh Bank and its agents bank(s)	33,745,487	41,196,551
Balance with other banks and financial institutions	7,831,274,161	9,402,286,152
Money at call and short notice	-	60,000,000
	7,865,138,445	9,503,583,269

The annexed notes form an integral part of these financial statements.


Chief Financial Officer


Company Secretary


Executive Director & CEO


Director


Chairman



Bangladesh Infrastructure Finance Fund Limited
Statement of Changes in Equity
For the year ended 31 December 2018

Particulars	Amount in Taka			
	Paid-up Capital	Statutory Reserve	Retained Earnings	Total
Balance as on 1 January, 2017	20,100,000,000	1,242,007,225	648,028,901	21,990,036,126
Net profit for the year	-	-	804,107,298	804,107,298
Dividend (Cash)	-	-	(150,000,000)	(150,000,000)
Issue of bonus share capital	490,000,000	-	(490,000,000)	-
Appropriations made during the year	-	160,821,460	(160,821,460)	-
Balance as on 31 December 2017	20,590,000,000	1,402,828,685	651,314,739	22,644,143,424
Balance as on 1 January, 2018	20,590,000,000	1,402,828,685	651,314,740	22,644,143,424
Net profit for the year	-	-	828,294,378	828,294,378
Dividend (Cash)	-	-	(150,000,000)	(150,000,000)
Issue of bonus share capital	490,000,000	-	(490,000,000)	-
Appropriations made during the year	-	165,658,876	(165,658,876)	-
Balance as on 31 December 2018	21,080,000,000	1,568,487,560	673,950,242	23,322,437,802

NB: BIFFL doesn't maintain any other reserve except statutory reserve.



Chief Financial Officer



Company Secretary



Executive Director & CEO



Director



Chairman



Bangladesh Infrastructure Finance Fund Ltd.
Liquidity Statement
Asset and Liability Maturity Analysis
As at 31 December 2018

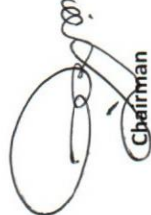
Particulars	Amount in Taka					
	Not more than 1 month term	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years	Total
Assets						
Cash in hand (including balance with Bangladesh Bank and its agents)	33,864,283	-	-	-	-	33,864,283
Balance with other banks and financial institutions	2,773,633,093	5,057,641,069	-	-	-	7,831,274,161
Money at call and short notice	-	65,373,825	192,350,090	1,030,895,659.72	274,824,389	1,563,443,964
Investments	-	527,614,194	1,155,228,388	6,571,970,903	8,722,894,923	16,977,708,408
Loans and advances	-	-	-	-	-	-
Fixed assets including land, building, furniture and fixtures	-	-	38,397,587	153,590,346.56	114,657,475	306,645,408
Other assets	30,350,739	74,558,204	8,682,229	3,322,126,733	-	3,435,717,904
Non-banking assets	-	-	-	-	-	-
Total Assets- A	2,837,848,114	5,725,187,291	1,394,658,293	11,078,583,642	9,112,376,787	30,148,654,129
Liabilities						
Borrowing from banks, financial institutions and agents	811,573,018	959,837	3,635,759.85	128,829,261	1,516,180,763	2,461,178,639
Deposits	-	-	-	-	-	-
Other accounts	-	-	-	-	-	-
Provision and other liabilities	164,855,226	150,031,684	3,613,709	4,046,537,069	-	4,365,037,689
Total Liabilities- B	976,428,245	150,991,521	7,249,469	4,175,366,329	1,516,180,763	6,826,216,327
Net Liquidity (Gap)/Excess (A-B)	1,861,419,870	5,574,195,770	1,387,408,824	6,903,217,313	7,596,196,024	23,322,437,801


Chief Financial Officer


Company Secretary


Executive Director & CEO


Director


Chairman



Bangladesh Infrastructure Finance Fund Ltd.
Notes to the Financial Statements
For the year ended 31 December 2018

1.0 Reporting entity

1.01 Company's profile

Bangladesh Infrastructure Finance Fund Limited (BIFFL) started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act, 1994 (ACT XVIII of 1994). The Authorized Share Capital of the Company is BDT 100.00 (One hundred) billion divided into 1 (one) billion shares of BDT 100.00 each and the Subscribed Share Capital or Paid-up Capital is BDT 21.08 billion. Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of Business was also issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act, 1993.

The overall Policy decisions of the Company are vested with the Board of Directors. The Board of Directors of BIFFL includes Senior Secretary, Bridges Division, MoRTB; Secretary, Power Division, MoPEMR; Secretary, Road Transport & Highways Division, MoRTB; Secretary, Energy & Mineral Resources Division, MoPEMR; Secretary, Prime Minister's Office; Secretary-In-Charge, Economics Relations Division, MoF and Additional Secretary, (TDM), Finance Division, MoF.

Secretary, Finance Division, Ministry of Finance is the Chairman of the Board and Executive Director & CEO is an ex-officio member.

1.02 Nature of business of the company

The Government of Bangladesh has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as conduit for mobilizing domestic and foreign private resources along with the public fund through Private-Public Partnership, popularly known in its short form as 'PPP'.

The main objective of BIFFL is to provide predominantly long-term financing for infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest companies that are implementing infrastructure projects in Bangladesh.

The main goals of the company are to provide long-term capital to critical infrastructure projects in Bangladesh, with a focus on promoting the evolving PPP program; to catalyze co-financing from private capital sources through the comfort of a professional domestic fund entity's presence in an investment; to provide a unique vehicle for capital markets development, by providing a number of avenues to capture domestic and foreign investment within the contexts of a robustly designed and well-governed investment vehicle; and to overcome current limitations on capital markets oversight and governance by creating a self-sustaining 'regulation-by-contract' structure.

BIFFL promotes, encourages and finance private sector investment in all critical infrastructure sectors, but not limited to the Power and Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green & Renewable Energy Efficient Projects, Social and Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects.



2.0 Significant accounting policies and basis of preparation of financial statements

2.01 Basis of preparation

The Financial Statements have been prepared on the basis of going concern concept and basically on accrual method under historical cost convention in accordance with Generally Accepted Accounting Principles (GAAP) and after due compliance with International Accounting Standards (IASs)/International Financial Reporting Standards (IFRSs).

Statement of compliance

The financial statements of the company have been prepared in accordance with IFRS as adopted by the ICAB and as per the requirements of DFIM circular No. 11 dated December 23, 2009 issued by the Department of Financial Institution and Markets of Bangladesh Bank.

The financial institution has departed from those contradictory requirements of IFRSs in order to comply with the rules and regulations of Bangladesh Bank which are disclosed below:

2.01.01 Investments in shares and securities

IFRS:

As per requirements of IAS 39 'Financial Instruments: Recognition and Measurement' investments in shares and securities generally falls either under "at fair value through Profit and Loss Account" or under "available for sale" where any change in the fair value at the period-end is taken to Profit and Loss Account or Revaluation Reserve Account respectively.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002 of Bangladesh Bank investments in quoted shares and unquoted shares are revalued at the period end at market price and as per book value of last audited statements of financial position (balance sheet) respectively. Provision should be made for any loss arising from diminution in value of investments.

The company has no investment in marketable securities.

2.01.02 Provision on loans and advances

IFRS:

As per IAS 39 an entity should start the impairment assessment by considering whether objective evidence of impairment exists for financial assets that are individually significant. For financial assets which are not individually significant, the assessment can be performed on an individual or collective (portfolio) basis.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 a general provision at 0.25% to 5% under different categories of unclassified loans (good/standard loans) has to be maintained.

2.01.03 Financial instruments - presentation and disclosure

In several cases Bangladesh Bank guidelines categories, recognise, measure and present financial instruments differently from those prescribed in IAS 39. As such some disclosure and presentation requirements of IFRS 7 'Financial Instruments: Disclosures' and IAS 32 'Financial Instruments: Presentation' cannot be made in the accounts.

2.01.04 Cash and cash equivalents

IFRS:

Cash and cash equivalents items should be reported as cash item as per IAS 7 'Statement of Cash Flows'.

Bangladesh Bank:

Cash and Cash Equivalents are shown as per DFM Circular No. 11, Dated 23 December 2009.



2.01.06 Non financial institutional assets

IFRS:

No indication of non-financial institutional assets is found in any IFRSs.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, there must exist a face item named Non-financial institutional asset.

2.01.07 Statement of cash flows

IFRS:

Cash flow statement can be prepared either in direct method or in indirect method. The presentation is selected to present these cash flows in a manner that is most appropriate for the business or industry. The method selected is applied consistently.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, statement of cash flows is a mixture of direct and indirect method.

2.01.08 Balance with Bangladesh Bank

IFRS:

Balance with Bangladesh Bank should be treated as other assets as it is not available for use in day to day operations as per IAS 7.

Bangladesh Bank:

Balance with Bangladesh Bank is treated as cash and cash equivalents.

2.01.09 Off balance sheet items

IFRS:

There is no concept of off balance sheet items in any IFRS; hence there is no requirement of disclosure to off balance sheet items.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, off balance sheet items e.g. L/C,

L/G must be disclosed separately in the face of the statement financial position (balance sheet).

2.01.10 Disclosure of appropriation of profit

IFRS:

There is no requirement to show appropriation of profit in the face of the statement of comprehensive income.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, an appropriation of profit should be disclosed in the face of statement of comprehensive income.

2.01.11 Other comprehensive income

IFRS:

As per IAS 1 'Presentation of Financial Statements', Other Comprehensive Income is a component of financial statements or the elements of Other Comprehensive Income are to be included in a Single Comprehensive Income (OCI) Statement.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements which will strictly be followed by all financial institutions. The templates of financial statements issued by Bangladesh Bank do not include Other Comprehensive Income; and the elements of Other Comprehensive Income are also not allowed to be included in a single Other Comprehensive Income (OCI) Statement. As such the company does not prepare the Other Statement of Comprehensive Income. However elements of OCI, if any, are shown in the statement of changes in equity.

2.01.12 Loans and advances net of provisions

IFRS:

Loans and advances should be presented as net of provisions.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, provision on loans and advances are presented separately as liability and cannot be netted off against loans and advances.

2.02 Integral components of financial statements

The financial statements of the company include the following components:

1. Statement of Financial Position (Balance Sheet) as at 31 December, 2018.
2. Statement of Comprehensive Income (Profit and Loss A/C) for the year ended 31 December, 2018.
3. Statement of Cash Flows for the year ended 31 December, 2018.
4. Statement of Changes in Equity for the ended 31 December, 2018.
5. Notes to the Financial Statements.

2.03 Use of estimates & judgments

The preparation of the financial statements of the company in conformity with Bangladesh Bank Circulars and IFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual result may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future period affected.

The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the company are as follows:

2.03.01 Going Concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, Board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.03.02 Impairment Losses on Loans and Advances

The company review their individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in the Income Statement. In particular, Management's judgment is required in the estimation of the amounts and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowances made.

Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, by categorizing them into groups of assets with similar risk characteristics, to determine whether a provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident.

The collective assessment takes account of data from the loan portfolio (such as levels of arrears, credit utilisation, loan-to-collateral ratios etc.) and judgment on the effect of concentrations of risks and economic data (including levels of unemployment, inflation, interest rates, exchange rates, sovereign rating etc.).

2.04 Consistency

In accordance with the IFRS framework for the presentation of Financial Statements together with International Accounting Standard 1 'Presentation of Financial Statements' and International Accounting Standard 8 'Accounting Policies, Changes in Accounting Estimates and Errors', BIFFL applies the accounting disclosures and principles consistently from one period to the next.

2.05 Reporting period

These Financial Statements cover one year starting from 01 January 2018 to 31 December 2018.

2.06 Presentation and functional currencies

The figures of the Financial Statements are presented in Bangladeshi currency (BDT) which is company's functional currency and have been rounded off to the nearest integer.

2.07 Assets and basis of their valuation**2.07.01 Cash and cash equivalents**

Cash and Cash Equivalents are shown as per DFM Circular No. 11, Dated 23 December 2009.

2.07.02 Investment in securities

Investment in non-marketable shares have been shown at cost. The company has no investment in marketable securities.

2.07.03 Loans, advances and provisions

Loans and advances are stated at gross amount. General provisions on unclassified loans, specific provisions for classified loans and interest suspense account thereon are shown under other liabilities. Provision is made on the basis of quarter end against classified loans and advances reviewed by the management and instruction contained in FID Circular no. 08 dated 3 August 2002, FID circular no. 03 and dated 03 May 2006.

a) Interest on loans and advances

Interest is calculated on a daily product basis but charged and accounted for on accrual basis. Interest is calculated on unclassified loans and advances and recognized as income during the period. Interest on classified loans and advances is kept in suspense account as per Bangladesh Bank instructions and such interest is not accounted for as income until realised from borrowers. Interest is not charged on bad and loss loans as per guidelines of Bangladesh Bank.

b) Provision for loans and advances

Provision for loans and advances are made on quarter basis as well as period-end review by management following instructions contained in FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 issued by Bangladesh Bank. General Provision on unclassified loans and advances and specific provision on classified loans & advances are given below:

c) Rate of provision

Particulars	All loan/lease
Standard-other than SME	1%
Standard-SME	0.25%
Special mention account (SMA)	5%
Sub-standard (SS)	20%
Doubtful (DF)	50%
Bad/loss (BL)	100%

d) Presentation of loans and advances

Loans and advances are shown at gross amount as assets while interest suspense and loan loss provision against classified advances are shown as liabilities in the statement of Financial Position.



e) Write off loans and advances

Loans and advances/investments are written off as per guidelines of Bangladesh Bank. Those written off however will not undermine/affect the claim amount against the borrower. Detailed memorandum records for all such written off accounts are meticulously maintained and followed up.

2.07.04 Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation. The cost of an asset comprises its purchase price and any directly attributable costs associated with bringing the assets to its working condition for its intended use as per International Accounting Standard 16 'Property, Plant and Equipment'.

Subsequent expenditure on property, plant and equipment

Subsequent expenditures are capitalized only when it increases the future economic benefits from the assets. All other expenditures are recognized as an expense as and when they are incurred.

Depreciation on property, plant & equipment.

Depreciation on fixed assets is charged consistently on straight-line method at following rates throughout the estimated useful life of the assets. On newly acquired assets depreciation is charged from the date of acquisition.

Category of Fixed assets	Rate of Depreciation
Land & Land Development	0%
Computer & IT Equipment	33.33%
Office Equipment	20%
Furniture & Fixtures	10%
Motor Vehicles	20%
Building	10%
Heating, Ventilation, and Air-conditioning (HVAC)	10%
Refrigerator	12.50%

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the concerned asset and is recognised accordingly in the Profit or Loss Account.

2.07.05 Intangible assets

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Company.

Amortization is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

Items of intangible Assets

Computer software

Estimate useful life

2 years

2.07.06 Other assets

Other assets include all other financial assets & fees, unrealised income receivable, advance for operating & capital expenditure, stocks of stationery, stamp etc. Details are shown in Note-10. Receivables are recognised when there is a contractual right to receive cash or another financial assets from another entity.

2.07.07 Non-financial institutional assets

Non-financial institutional assets are acquired on account of the failure of a borrower to repay the loan in time after receiving the decree from the court regarding the right and title of the mortgage property. There are no assets acquired in exchange for loan during the period of financial statements.



2.07.08 Impairment of Assets

The carrying amount of the entity's non financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated. However, no such conditions that might be suggestive of a heightened risk of impairment existed at the reporting date.

2.08 Basis for valuation of liabilities and provisions

2.08.01 Provision for tax

a. Current tax

Provision for Current Tax is made on the basis of the profit for the period as adjusted for taxation purpose in accordance with the provision of Income Tax Ordinance, 1984 and amendments made thereof.

b. Deferred tax

The company has adopted a policy of recognition of deferred tax in accordance with International Accounting Standard 12 'Income Taxes'. Deferred tax is provided using the asset liability method for all temporary timing differences between the carrying amount of assets and liabilities for financial reporting purposes and the amount used for tax purposes. The amount of deferred tax is determined at the effective income tax rate prevailing at the Balance Sheet date.

2.08.02 Employees' benefit obligation

Defined contribution plan

There is a Provident Fund Scheme under defined contribution plan. The fund consists of subscription of all participatory employees and contribution from the company at a predetermined rate. The fund is administered by a Board of Trustees and invested separately from the Company's assets. The Fund is given to eligible employees at the time of retirement/resignation as per approved rules of the Fund.

Defined benefit plan

The Company has a separate Board of Trustees for operating the staff gratuity fund as per gratuity policy. The amount of provision is transferred to the Board of Trustees of the Fund on a yearly basis.

2.09 Capital and shareholders' equity

2.09.01 Capital management

The company has a capital management process for measuring, deploying and monitoring its available capital and assessing its adequacy. This capital management process aims to achieve four major objectives; exceed regulatory thresholds and meet long-term internal capital targets, maintain strong credit rating, manage capital levels commensurate with the risk profile of the company and provide the company's shareholders with acceptable returns.

Capital is managed in accordance with the board approved capital management planning from time to time. Senior management develops the capital strategy and oversees the capital management planning of the company. The company's finance and risk management department are key to implementing the company's capital strategy and managing capital. Capital is managed using both regulatory control measures and internal matrices.

2.09.02 Paid up capital

Paid up share capital represents total amount of shareholder capital that has been paid in full by the Government of Bangladesh i.e. ordinary shareholder. In the event of winding-up of the company ordinary shareholder(s) rank after all other shareholders and creditors are fully entitled to any residual proceeds of liquidation.

2.09.03 Statutory reserve

As per the Financial Institution Regulations Act, 1994 it is required for the company to transfer 20% of its current period's profit after tax to reserve until such reserve equals to its paid up capital.

2.09.04 Dividends on ordinary shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders.

2.10 Earnings per share

Earnings per share is calculated by dividing the profit or loss attributable to ordinary shares of the BIFFL by the weighted average number of ordinary shares outstanding during the period. BIFFL calculates EPS in accordance with International Accounting Standard 33 'Earnings per Share' which has been shown in the profit and loss and computation is stated in Note no. 36.

2.11 Contingent assets & liabilities

The Company does not recognize contingent liabilities and contingent assets but disclose the existence of contingent liabilities and assets in the financial statements if there is any. A contingent liability is a probable obligation that arises from past events whose existence will be confirmed by occurrence or non-occurrence of uncertain future events not within the control of the company or a present obligation that is not recognized because outflow of resources is not likely or obligation cannot be measured reliably.

2.12 Liquidity statement

The liquidity statement has been prepared in accordance with remaining maturity grouping of Assets and Liabilities as of the close of the reporting period as per following bases:

- Balance with other company's and financial institutions are on the basis of their maturity term.
- Investments are on the basis of their residual maturity term.
- Loans and advances are on the basis of their repayment /maturity schedule.
- Property, plant and equipments are on the basis of their useful lives.
- Other assets are on the basis of their adjustments terms.
- Borrowings from other company's and financial institutions are on the basis of their maturity/repayment schedule.
- Deposits and other accounts are on the basis of their maturity terms and past behavioral trends.
- Other liabilities are on the basis of their settlement terms.

2.13 Events after the reporting period

Events after the reporting period that provide additional information about the company's position at the statement of financial position date are reflected in the financial statements in Note no. 44 as per International Accounting Standards (IAS)-10: 'Events after the reporting period'.

2.14 Compliance Report on International Accounting Standards (IASs) and International Financial Reporting Standards (IFRSs)

Sl. No.	IFRS/ IAS No.	Name of the IFRS/IAS	Status
1	IFRS-1	First Time adoption of IFRS	Not Applicable
2	IFRS-2	Share based payment	Not Applicable
3	IFRS-3	Business combinations	Not Applicable
4	IFRS-4	Insurance contracts	Not Applicable
5	IFRS-5	Non-current assets held for sales and discontinued operations	Applied
6	IFRS-6	Exploration for and evaluation of mineral resources	Not Applicable
7	IFRS-7	Financial instruments disclosures	Applied*
8	IFRS-8	Operating segments	Not Applicable
9	IFRS-9	Financial instruments	Applied*
10	IFRS-10	Consolidated financial statements	Not Applicable
11	IFRS-11	Joint arrangements	Not Applicable
12	IFRS-12	Discloser of interest in other entities	Not Applicable
13	IFRS-13	Fair value measurement	Partially Applied*
14	IAS-1	Presentation of financial statements	Applied*
15	IAS-2	Inventories	Not Applicable
16	IAS-7	Cash flow statements	Applied*

17	IAS-8	Accounting policies, changes in accounting estimates and errors	Applied
18	IAS-10	Events after the balance sheet date	Applied
19	IAS-11	Construction contract	Not Applicable
20	IAS-12	Income taxes	Applied
21	IAS-14	Segment reporting	Not Applicable
22	IAS-16	Property, plant and equipment	Applied
23	IAS-17	Leases	Not Applicable
24	IAS-18	Revenue	Applied
25	IAS-19	Employee benefits	Applied
26	IAS-20	Accounting for government grants and disclosure of government assistance	Not Applicable
27	IAS-21	The Effects of changes in foreign exchange rates	Not Applicable
28	IAS-23	Borrowing costs	Not Applicable
29	IAS-24	Related party disclosures	Applied
30	IAS-26	Accounting and reporting by retirement benefit plans	Partially Applied
31	IAS-27	Consolidated and separate financial statements	Not Applicable
32	IAS-28	Investments in associates	Not Applicable
33	IAS-31	Interest in joint ventures	Not Applicable
34	IAS-32	Financial instruments: presentation	Applied*
35	IAS-33	Earnings per share	Applied
36	IAS-34	Interim financial reporting	Applied
37	IAS-36	Impairment of assets	Applied
38	IAS-37	Provision, contingent liabilities and contingent assets	Applied
39	IAS-38	Intangible assets	Applied
40	IAS-39	Financial Instruments: recognition and measurement	Applied*
41	IAS-40	Investment property	Not Applicable
42	IAS-41	Agriculture	Not Applicable

*As the regulatory requirements differ with the standards, relevant disclosures have been made in accordance with Bangladesh Bank's requirements

2.15 Capital adequacy and market discipline

To cope with the international best practices and to make up the capital more risks sensitive as well as more shock resilient, a road map was issued in August 2010 on implementation of Basel Accord in the FIs. Being well pursuant with the road map, prudential guidelines namely 'Capital Adequacy and Market Discipline for Financial Institutions' had been introduced by Bangladesh Bank from December, 2011. The guidelines came into force from 1 January, 2012 with necessary supplements/revisions. Instructions in respect of Minimum Capital Requirement, Adequate Capital and Disclosures requirement as stated in the guidelines have been followed for the purpose of statutory compliance.

As per prudential guideline BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I.

Pillar – 1: Minimum capital requirement

Credit Risk

The calculation of capital requirement against credit risk is more elaborate and risk sensitive. The Accord gives a choice of some sophisticated approaches to address risks, and adoption of a particular approach depends on the risk measurement capabilities and robustness of the systems in place in a Financial Institution. A Standardized Approach has been the preliminary choice of FIs for the credit risk calculation.

Market risk

Market risk is defined as the risk of losses in on and off-balance-sheet positions arising from movements in market prices. The risks subject to this requirement are:

- The risks pertaining to interest rate related instruments and equities in the trading book;
- Foreign exchange risk and commodities risk throughout the FI.

The capital charges for interest rate related instruments and equities applied to the current trading book items prudently valued by BIFFL. The capital charges for foreign exchange risk and for commodities risk applied to BIFFL's total currency and commodity positions, subject to some discretion to exclude structural foreign exchange positions.

Operational risk

The accord introduces for the first time a capital charge for operational risk. The framework presents three methods for calculating operational risk capital charges in a continuum of increasing complexity and risk sensitivity. These methods are the Basic Indicator Approach (a fixed percentage of gross income amount), Standardized Approach (sum of a certain percentage of FI's income in each business line) and Internal Measurement Approach (statistical measure of FI's operational loss based on its historical loss data). But initially, Basic Indicator Approach has been applied for calculating the capital charge against operational risk.

2.16 Stress testing

Stress Testing is an important risk management tool that is used by the Financial Institutions as part of internal risk management and through the Basel II capital adequacy framework, is promoted by Bangladesh Bank. Stress Testing alerts Financial Institutions management to adverse unexpected outcomes related to a variety of risks and provides an indication of how much capital might be needed to absorb losses should large shock occur. Stress Testing supplements other risk management approaches and measures playing particularly important role in:

- ✓ Providing forward-looking assessment of risk;
- ✓ Overcoming limitations of models and historical data;
- ✓ Supporting external and internal communication;
- ✓ Feeding into capital and liquidity planning procedures;
- ✓ Informing the setting of an FI's risk tolerance; and
- ✓ Facilitating the development of risk mitigation or contingency plans across a range of stressed conditions.

Stress Testing guidelines have been issued by Bangladesh Bank to provide a structured way of assessing the vulnerability of financial institutions to extreme but plausible market conditions. The guidelines enable institutions to accurately assess risk and define the "risk appetite" of the organization and also provide critical information to senior management for decision around capital allocation and contingency planning.

BIFFL exercise stress testing on its portfolio on quarterly basis and submit its stress testing report as per format prescribed by Bangladesh Bank on regular basis.

2.17 IT systems and controls

Information Technology forms an integral part of the NBFIs Corporate Governance. It deals primarily with optimizing the linkage between Strategic Direction and Information Systems Management of the Company. In this regard, implementation of the organizational structure with well-defined roles for the responsibility of information, business processes, applications, infrastructure, etc. generates value for our stakeholders while mitigating the risks associated with incorrect deployment and use of Information Technology. IT division is constantly working towards the development and implementation of new technologies to enable the organization to meet future market demand.



2.18 Legal & Regulatory Compliance

The Company's procedures are in place to ensure Compliance with Mandatory Bangladesh Bank's instructions and the statutory requirements are under close scrutiny. The Company monitors due compliance with all relevant Laws & Regulations. The system of internal controls, including financial, operational and compliance controls and risk management systems, are maintained by the Company's management and that was in place throughout the financial year and up to and as of the date of this report, is adequate to meet the needs of current business environment and to comply with the legal & regulatory requirements.



	Amount in Taka	
	31-Dec-18	31-Dec-17
3.00 Cash		
Cash in hand (3.1)	118,796	100,566
Balance with Bangladesh Bank and its agents bank(s) (3.2)	33,745,487	41,196,551
	33,864,283	41,297,117

3.1 Cash in hand		
In local currency	118,796	100,566
In foreign currency	-	-
	118,796	100,566

3.2 Balance with Bangladesh Bank and its agents bank(s)		
Balance with Bangladesh Bank	33,745,487	41,196,551
In foreign currency	-	-
	33,745,487	41,196,551

3.3 Balance with Bangladesh Bank
Balance with Bangladesh Bank is non-interest bearing and maintained to meet the Cash Reserve Requirement (CRR). CRR (note 3.4) and Statutory Liquidity Reserve (note 3.5) have been calculated and maintained in accordance with Financial Regulations 1994 and FID Circular No. 06 dated 6th November, 2003 and FID Circular No. 02 dated 10th November, 2004.

3.4 Cash Reserve Requirement (CRR)
CRR is calculated at the rate of 2.5% on Total Term Deposits which is preserved in current account maintained with Bangladesh Bank in compliance with FID circular no. 6 dated 6th November, 2003 and FID Circular No. 02 dated 10th November, 2004. Total Term Deposits mean Term or Fixed Deposits, Security Deposit against Lease/Loan and other Term Deposits received from individuals and institutions (except Banks and Financial Institutions). BIFFL has no such Term Deposits. Therefore, required reserve of CRR is Nil.

Required reserve	-	-
Actual reserve held	33,745,487	41,196,551
Surplus/(Deficit)	33,745,488	41,196,551

3.5 Statutory Liquidity Reserve (SLR)
SLR has been calculated at the rate of 2.5% of total liabilities. SLR is maintained in liquid assets in the form of cash in hand, balance with Bangladesh Bank, balance with other banks & financial institutions, investment at call, unencumbered treasury bills, prize bond, savings certificates & any other assets approved by Bangladesh Bank.

Required reserve	144,962,114	1,875,431
Actual reserve held	7,865,138,445	9,443,482,703
Surplus/(Deficit)	7,720,176,331	9,441,607,272

4 Balance with other banks and financial institutions

Inside Bangladesh		
Current accounts (Note-4.1)	786,379	97,917
Short noticed deposit account (Note-4.2)	213,000,420	121,230,612
Fixed deposit accounts (Note-4.3)	7,617,487,363	9,280,957,623
	7,831,274,161	9,402,286,152
Outside Bangladesh	-	-
	7,831,274,161	9,402,286,152

The company does not maintain any account outside Bangladesh.



4.1 Current account

One Bank Ltd.
Dutch Bangla Bank Ltd.

Amount in Taka	
31-Dec-18	31-Dec-17
32,791	33,941
753,588	63,976
786,379	97,917

4.2 Short noticed deposit account

One Bank Ltd.
NRB Bank Ltd.
United Commercial Bank Ltd.
Shahjalal Islami Bank Ltd.
Sonal Bank Ltd.
Agrani Bank Ltd.
Uttara Bank Limited

8,383,260	106,892,094
7,068,860	6,869,531
1,589,443	6,507,988
168,396,002	847,535
116,912	113,463
7,471,775	-
19,974,166	
213,000,420	121,230,612

4.3 Fixed deposit accounts

AB Bank Ltd.
First Security Islami Bank Ltd.
NRB Commercial Bank Ltd.
NRB Bank Ltd.
One Bank Ltd.
Midland Bank Ltd.
Union Bank Ltd.
SBAC Bank Ltd.
IDLC Finance Ltd.
Premier Bank Ltd.
Modhumoti Bank Ltd.
Shahjalal Islami Bank Ltd.
City Bank Ltd.
Delta Brac Housing Corp. Ltd.
Eastern Bank Limited
EXIM Bank Ltd.
Lanka Bangla Finance Ltd.
NRB Global bank Ltd.
Farmers (Padma) Bank Ltd.
National Bank Ltd.
United Commercial Bank Ltd.
Bank Asia Ltd.
International Leasing and Financial Services Ltd.
ICB Islamic Bank Ltd.
IFIC Bank Ltd.
FAS Finance & Investment Ltd.
First Finance Ltd.
Premier Leasing & Finance Ltd.
Peoples Leasing & Financial Services Ltd.
NCC Bank Ltd.

-	101,537,010
40,000,001	161,588,125
90,720,000	80,000,001
53,875,084	50,000,000
32,366,995	31,450,064
-	50,000,000
22,472,328	70,959,962
163,697,916	42,548,302
-	33,285,436
20,978,717	101,550,000
-	50,000,000
31,671,998	80,947,375
-	100,000,000
21,309,798	104,087,150
60,000,000	-
30,999,036	293,177,915
	200,000,000
60,337,501	191,712,904
1,174,149,640	1,239,241,615
-	22,165,896
81,913,666	61,519,714
-	21,696,352
726,925,625	711,770,550
463,150,871	582,351,943
315,317,268	636,743,136
573,173,603	519,806,205
201,905,278	181,285,517
273,037,500	150,000,000
572,267,941	560,253,865
-	135,673,450



	Amount in Taka	
	31-Dec-18	31-Dec-17
BD Finance & Investment Ltd.	81,931,751	130,000,000
Social Islami Bank Ltd.	20,748,879	172,341,869
Mercantile Bank Ltd.	-	70,000,000
Bangladesh Commerce Bank Ltd.	120,956,250	152,038,335
Bay Leasing & Investment Ltd.	30,000,000	52,487,007
BIFC Ltd.	555,380,015	518,243,674
Brac Bank Ltd.	101,524,206	50,000,000
Fareast Finance & Investment Ltd.	350,000,000	350,000,000
Reliance Finance Ltd.	160,000,000	160,000,000
Islami Bank Bangladesh Ltd.	-	230,000,000
Meridian Finance & Investment Ltd.	402,225,000	50,000,000
National Housing and Finance Ltd.	60,663,000	-
Prime Finance & Investment Ltd.	300,000,000	300,000,000
Standard Bank Ltd.	-	80,494,250
United Finance Ltd.	51,237,500	-
Union Capital Ltd.	362,550,000	400,000,000
IPDC Finance Ltd.	10,000,000	-
	7,617,487,363	9,280,957,623

4.4 Maturity grouping of balance with banks and other financial institutions

On demand	786,379	97,917
Up to 1 month	2,559,846,294	1,456,754,967
Over 1 month but not more than 3 months	5,270,641,488	7,945,531,185
Over 3 months but not more than 1 year	-	-
Over 1 year but not more than 5 years	-	-
Over 5 years	-	-
	7,831,274,161	9,402,384,070

5 Money at call and short notice

Bangladesh Commerce Bank Ltd.	-	30,000,000
FAS Finance & Investment Ltd.	-	30,000,000
	-	60,000,000

6 Investments

Investment classified as per nature:

Government bond (Note-6.1)	-	-
Other investments (Note-6.2)	1,563,443,964	2,497,603,687
	1,563,443,964	2,497,603,687

6.1 Government bond

Treasury bills	-	-
National investment bonds	-	-
Bangladesh Bank bills	-	-
Government notes/bonds	-	-
Others	-	-
	-	-

BIFFL has no investment in Government bond.

6.2 Other investments

Investment in preference share (6.2.1)	1,089,393,936	436,363,632
Investment in commercial paper (6.2.2)	250,000,000	1,750,000,000
Investment in bond (6.2.3)	224,050,028	311,240,055
	1,563,443,964	2,497,603,687

		Amount in Taka	
		31-Dec-18	31-Dec-17
6.2.1 Investment in preference Share			
Rajlanka Power Company Ltd.	339,393,936	436,363,632	
Doreen Power House & Technologies Ltd.	400,000,000		
Summit Ace Alliance Port Ltd.	350,000,000		
	1,089,393,936	436,363,632	
6.2.2 Investment in Commercial Paper			
MAX Infrastructure Ltd.	-	1,000,000,000	
Computer Source Ltd.	250,000,000	250,000,000	
LankaBangla Finance Ltd.	-	500,000,000	
	250,000,000	1,750,000,000	
6.2.3 Investment in bond			
IDLC zero coupon bond	224,050,028	311,240,055	
	224,050,028	311,240,055	
7 Leases, loans and advances			
a) Inside Bangladesh			
Leases (Note -7.1)	-	-	
Loans	16,977,708,408	10,719,748,885	
Cash credits	-	-	
Overdrafts	-	-	
Sub-total	16,977,708,408	10,719,748,885	
b) Outside Bangladesh	-	-	
Total	16,977,708,408	10,719,748,885	
7.1 Leases	-	-	
7.2 Sector wise leases, loans and advances			
Public sector	5,396,582,235	4,140,207,975	
Co-operative sector	-	-	
Private sector	11,581,126,173	6,579,540,910	
	16,977,708,408	10,719,748,885	
7.3 Residual maturity grouping of leases, loans and advances			
On demand	-	-	
Up to 1 month	-	-	
Over 1 month but not more than 3 months	527,614,194	72,916,778	
Over 3 months but not more than 1 year	1,155,228,388	3,361,828,479	
Over 1 year but not more than 5 years	6,571,970,903	7,178,563,782	
Over 5 years	8,722,894,923	106,439,846	
	16,977,708,408	10,719,748,885	
7.4 Leases, loans and advances on the basis of significant concentration			
a. Leases, loans and advances to Directors and organizations related to Directors (fully secured)	-	-	
b. Leases, loans and advances to Chief Executive Officer and other senior executives	2,900,725	41,618	
c. Leases, loans and advances to customer groups	-	-	
d. Leases, loans and advances on sector basis:	-	-	
i) Textiles	14,535,416	664,378,185	
ii) Garments and accessories	1,430,006,489	-	



	Amount in Taka	
	31-Dec-18	31-Dec-17
iii) Transport (including Marin Transport)	5,683,422,222	3,200,000,000
iv) Chemicals and pharmaceuticals	-	-
v) Iron, steel and engineering	736,657,322	800,000,000
vi) Agricultural equipments and agro industries	-	-
vii) Power and energy	1,176,563,047	244,962,850
viii) Electronics and electrical	186,539,617	-
ix) Information technology (IT)	-	-
x) Paper printing and packaging	-	-
xi) Plastic	5,126,319	-
xii) Real estate and housing	-	-
xiii) Food and beverage	3,128,546	-
xiv) Glass and ceramics	1,104,177,287	467,547,146
xv) Services	1,226,668,940	1,202,611,111
xvi) Others	5,407,982,478	4,140,207,975
Sub-total	16,977,708,408	10,719,748,885

7.5 Leases, loans and advances on geographical basis

Inside Bangladesh:

Urban

Dhaka Division	4,455,000,000	4,703,595,002
Chattogram Division	223,947,929	1,000,000,000
Khulna Division	-	-
Rajshahi Division	-	-
Barishal Division	-	-
Sylhet Division	-	-
Sub-total	4,678,947,929	5,703,595,002

Rural

Dhaka Division	5,415,051,184	873,334,797
Chattogram Division	3,674,273,189	909,055,087
Khulna Division	3,128,546	-
Rajshahi Division	53,168,036	-
Barisal Division	-	-
Sylhet Division	3,153,139,524	3,233,763,999
Sub-total	12,298,760,479	5,016,153,883

Outside Bangladesh

Total	16,977,708,408	10,719,748,885
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7.6 Classification of Leases, loans and advances

Unclassified

Standard	16,972,582,089	10,719,707,267
Special mention account	-	-
Sub-total	16,972,582,089	10,719,707,267

Classified

Sub-standard	5,126,319	-
Doubtful	-	-
Bad/Loss	-	-
Sub-total	5,126,319	-
Total	16,977,708,408	10,719,707,267



		Amount in Taka	
		31-Dec-18	31-Dec-17
7.7 Particulars of loans, advances and leases			
i) Loan considered good in respect of which the Bank/ FI is fully secured	5,398,477,341	4,143,470,771	
ii) Loan considered good for which the Bank/FI holds no other security than the debtor's personal security.	2,928,818,570	1,081,864,953	
iii) Loan considered good and secured by the personal security of one or more parties in addition to the personal security of the debtors	8,650,412,497	5,494,413,162	
iv) Loan adversely classified; for which no provision is created.	-	-	
Total	16,977,708,408	10,719,748,885	
v) Loan due by directors or officers of the Bank/ FI or any of them either jointly or separately with any other persons.	2,900,725	41,618	
vi) Loan due by companies and firms in which the directors of the Bank/FI have interests as directors, partners or managing agent or in case of private companies as members.	-	-	
vii) Maximum total amount of advances, including temporary advances made at any time during the period to directors and managers or officers of the Bank/FI or any of them either severally or jointly with any other persons.	-	-	
viii) Maximum total amount of advances, including temporary advances granted during the period to the companies or firms in which the directors of the Bank/ FI have interests as directors, partners or managing agents or, in case of private companies as members.	-	-	
ix) Due from other bank/ FI companies	-	-	
x) Information in respect of classified loans and advances:	-	-	
a) Classified loans for which interest/ profit not credited to income	5,126,319	-	
b) Amount of provision kept against loans classified as bad/ loss as at the Balance Sheet date	-	-	
c) Amount of interest credited to the interest suspense account	126,319	-	
xi) Cumulative amount of written off loans:			
Opening balance	-	-	
Amount written off during the period	-	-	
Amount received from written off during the period	-	-	
Balance of written off loans and advances yet to be recovered	-	-	
The amount of written off loans for which law suits have been filed.			
8 Bills purchased and discounted			
Payable inside Bangladesh	-	-	
Payable outside Bangladesh	-	-	
BIFFL has no bills purchased and discounted			

		Amount in Taka	
		31-Dec-18	31-Dec-17
9 Fixed assets including premises, furniture and fixtures:			
Cost:			
Opening balance	327,635,688	320,227,976	
Addition during the period	70,088,107	7,407,712	
	397,723,795	327,635,688	
Disposal/Adjustment during the period	384,375	-	
Closing balance (A)	397,339,420	327,635,688	
Less: Accumulated Depreciation :			
Opening balance	60,642,515	23,848,129	
Charged during the period	38,397,587	36,794,386	
	99,040,102	60,642,515	
Adjustment for disposal during the period	346,090	-	
Closing balance (B)	98,694,013	60,642,515	
Written down value (A-B)	298,645,408	266,993,173	
Details are in (Annexure -A)			
9.1 Capital work in process:			
Opening balances	-		
Addition during the year:			
Intangible Assets- Development of Core Financial Software	8,000,000	-	
Closing balances	8,000,000		
10 Other assets			
Advance income tax (Note -10.1)	3,282,369,129	2,662,388,461	
Interest receivables on FDR	92,777,442	73,640,613	
Interest receivables on STL	-	85,833	
Security deposit	63,975	63,975	
Advance to suppliers	936,206	22,542,483	
Office rent receivables	25,754	1,932,271	
Deferred tax assets (Note-10.2)	463,039	1,019,127	
Advance to staff	264,326	78,888	
Receivables against investment (Note-10.3)	58,425,434	71,148,602	
Bill receivables	-	1,554,899	
Advance payroll tax	392,598	-	
	3,435,717,904	2,834,455,153	
10.1 Advance income tax			
Opening balance	2,662,388,461	2,265,245,371	
Income tax deducted at sources	89,980,669	84,176,834	
Paid during the period	530,000,000	312,966,256	
Closing balance	3,282,369,129	2,662,388,461	
10.2 Deferred tax assets			
Opening balance	1,019,127	987,182	
Deferred tax income /(expense) during the period	(556,089)	31,945	
	463,039	1,019,127	
Tax deductible temporary difference			
Gratuity payable	1,157,597	2,397,947	
Applicable tax rate	40.00%	42.50%	
Closing deferred tax assets	463,039	1,019,127	

		Amount in Taka	
		31-Dec-18	31-Dec-17
10.3 Receivables against investment			
Dividend receivable (Note-10.3.1)	18,102,439	11,029,037	
Interest receivable on commercial paper (Note-10.3.2)	34,387,233	56,419,444	
Interest receivable on zero coupon bond (Note-10.3.3)	5,935,763	3,700,121	
	58,425,434	71,148,602	
10.3.1 Receivable in preference share			
Rajlanka Power Company Ltd.	8,707,347	11,029,037	
Doreen Power House & Technologies Ltd.	7,353,425		
Summit Ace Alliance Port Ltd.	2,041,667		
	18,102,439	11,029,037	
10.3.2 Receivable in commercial paper			
MAX Infrastructure Ltd.	-	10,752,778	
Computer Source Ltd.	34,387,233	20,250,000	
LankaBangla Finance Ltd.	-	25,416,667	
	34,387,233	56,419,444	
10.3.3 Receivable in bond			
IDLC zero coupon bond	5,935,763	3,700,121	
	5,935,763	3,700,121	
11 Non-financial institutional assets			
	-	-	
12 Borrowings from banks, other financial institutions and agents			
Inside Bangladesh (Note - 12.1)	1,027,731,764	3,473,688	
Outside Bangladesh (Note - 12.2)	1,433,446,875	-	
	2,461,178,639	3,473,688	
12.1 Inside Bangladesh			
Advance from BB Refinance Scheme	216,410,829	3,473,688	
Secured Overdraft and STL	811,320,935	-	
	1,027,731,764	3,473,688	
12.2 Outside Bangladesh			
Borrowing from EECPPF JICA Loan No-BD-P90	1,433,446,875	-	
	1,433,446,875	-	
13 Deposits and other accounts			
	-	-	
14 Other liabilities			
Provision for income tax (Note-14.1)	3,721,360,000	2,952,882,026	
Account payables (Note-14.2)	12,916,658	7,566,956	
Advance commercial space rent	-	966,129	
Provision for leases, loans, & advances (Note-14.5)	433,617,842	184,376,414	
Deferred tax liabilities (Note-14.3)	6,920,674	5,724,277	
Employee benefit liabilities (Note-14.4)	1,686,954	2,784,805	
Audit fees payable	224,250	90,000	
Security deposit payable	125,000	125,000	
Interest suspense account	34,513,552	20,250,000	
Interest payable	3,672,758	1,447	
Dividend Payable	150,000,000	-	
	4,365,037,689	3,174,767,054	

		Amount in Taka	
		31-Dec-18	31-Dec-17
14.1 Provision for income tax			
Opening balance	2,952,882,026	2,311,030,387	
Add: Addition during this period	768,477,974	641,851,639	
Closing balance	3,721,360,000	2,952,882,026	
14.2 Account payables			
Withholding and payroll tax	976,073	466,708	
Withholding VAT	2,268,583	1,066,871	
Bill payables	9,672,003	6,033,377	
	12,916,658	7,566,956	
14.3 Deferred tax liabilities			
Opening balance	5,724,277	8,170,713	
Deferred tax (income)/expense during the period	1,196,397	(2,446,436)	
	6,920,674	5,724,277	
Taxable temporary difference			
Carrying amount of fixed assets as per accounting base	298,645,408	266,993,173	
Carrying amount of fixed assets as per tax base	281,343,723	253,524,285	
Taxable temporary difference on fixed assets	17,301,685	13,468,888	
Applicable tax rate	40.00%	42.50%	
Closing deferred tax liabilities	6,920,674	5,724,277	
Deferred tax liabilities at the beginning of the period	5,724,277	8,170,713	
Deferred tax expense/(income) during the period	1,196,397	(2,446,436)	
14.4 Employee benefit liabilities			
Gratuity payable			
Opening Balance	2,397,947	2,409,405	
Addition during the period	2,659,410	2,397,947	
Less: Amount transferred during the period	3,899,760	2,409,405	
Closing Balance (A)	1,157,597	2,397,947	
Contributory Provident Fund(CPF) payable			
Opening Balance	386,857	1,060,952	
Addition during the period	4,357,829	3,502,400	
Less: Amount transferred during the period	4,215,329	4,176,494	
Closing Balance(B)	529,357	386,858	
Total (A+B)	1,686,954	2,784,805	
14.5 Provision for Lease, loans, advances and investment			
General provision			
<i>Lease Loans and Advances:</i>			
Opening Balances	111,391,391	77,833,993	
Addition during the period	58,334,430	33,557,398	
Closing Balances (i)	169,725,821	111,391,391	
<i>Investment:</i>			
Opening Balances	22,985,023	25,683,972	
Addition/(Deduction) during the period	(9,610,201)	(2,698,949)	
Closing Balances (ii)	13,374,821	22,985,023	
Closing Balance of total general provision- i+ii (A)	183,100,642	134,376,414	
Specific Provision			
<i>Lease Loans and Advances:</i>			
Opening Balances	-	-	
Addition during the period	517,200	-	
Closing Balances (i)	517,200	-	

Investment:

Amount in Taka		
	31-Dec-18	31-Dec-17
Opening Balances	50,000,000	-
Addition during the period	200,000,000	50,000,000
Closing Balances (ii)	250,000,000	50,000,000
Closing balances of total specific provision - i+ii (B)	250,517,200	50,000,000
Closing of Balances of total provision maintained(A+B)	433,617,842	184,376,414

15.1 Authorized capital

1,000,000,000 ordinary shares of Tk. 100 each	100,000,000,000	100,000,000,000
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15.2 Issued, subscribed & paid up capital

21,080,000 Shares (2018) & 205,900,000 shares (2017) @Tk 100 each	21,080,000,000	20,590,000,000
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15.3 Capital adequacy and market discipline

As per Capital Adequacy and Market Discipline for Financial Institutions guidelines of Bangladesh Bank, BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I. BIFFL maintain Capital Adequacy Ratio (CAR) of minimum 10%.

Tier-1 (Core Capital)

Fully paid-up capital/ capital lien with BB	21,080,000,000	20,590,000,000
Statutory reserve	1,568,487,560	1,402,828,685
Non-repayable share premium account	-	-
General reserve	-	-
Retained earnings	673,950,242	651,314,740
Minority interest in subsidiaries	-	-
Non- cumulative irredeemable preference shares	-	-
Dividend equalization account	-	-
Others (if any item approved by Bangladesh Bank)	-	-
Sub-Total	23,322,437,802	22,644,143,424

Deductions from tier-1(Core capital)

Book value of goodwill and any value of any contingent assets which are shown as assets	-	-
Shortfall in provisions required against classified assets	-	-
Shortfall in provisions required against investment in share	-	-
Remaining deficit on account of revaluation of investments in securities after netting off any other surplus on the securities	-	-
Any investment exceeding the approved limit	-	-
Investments in subsidiaries which are not consolidated	-	-
Others (if any)	-	-
Sub-Total	-	-
Total eligible Tier-1 capital	23,322,437,802	22,644,143,424



Amount in Taka	
31-Dec-18	31-Dec-17
2. Tier-2 (Supplementary capital)	
General provision (Unclassified up to special limit+SMA+ off balance sheet exposure)	
Assets revaluation reserves upto 50%	
Revaluation reserve for securities upto 50%	
All other preference shares	
Others (if any item approved by Bangladesh Bank)	
Sub-Total	
Deductions, if any	
Total eligible Tier-2 capital	
Total capital	
Total risk weighted asset	
Required capital	
Surplus/(Deficit)	
Capital Adequacy Ratio (CAR)	
On core capital (Tier-1)	
On supplementary capital (Tier-2)	
16 Statutory reserve	
Opening balance	
Add: Transferred during the period	
Closing balance	
According to the Rule 6 of The Financial Institutions Regulation 1994, the company transfers 20% of its net profits for the respective period to statutory reserve.	
17 Other reserve	
The company doesn't maintain any other reserve.	
18 Retained earnings	
Opening balance	
Add: Net profit for the period	
Less: Transferred to statutory reserve for the period	
Less: Stock dividend	
Less: Cash dividend	
Closing balance	

		Amount in Taka	
		31-Dec-18	31-Dec-17
19	Income statement		
19.1	Income		
	Interest, discount and similar income	-	-
	Interest income on leases, loans and advances (Note-20)	1,132,242,764	748,241,004
	Investment income (Note-22)	88,050,697	175,222,608
	Other operating income (Note - 23)	815,591,322	729,908,798
		2,035,884,783	1,653,372,411
19.2	Expenses		
	Interest expenses on deposits, borrowings etc. (Notes-21)	32,411,434	3,232,010
	Salary and allowances (Note-24)	47,539,659	39,034,424
	Rent, taxes, insurance, electricity etc. (Note-25)	5,867,323	3,663,665
	Legal expenses (Note-26)	1,330,400	728,641
	Postage, stamp, telecommunication etc. (Note-27)	1,707,532	1,553,885
	Stationery, printing, advertisement etc. (Note-28)	14,634,009	4,956,661
	Managing Director's salary and allowances (Note-29)	10,252,610	9,555,876
	Directors' fees (Note-30)	1,348,024	1,257,088
	Auditors' fees (Note-31)	368,000	120,050
	Charges on loan losses	-	-
	Depreciation and repairs of company's assets (Note-32)	40,861,386	38,826,235
	Other operating expenses (Note-33)	31,798,141	26,104,871
		188,118,517	129,033,405
20	Interest income on leases, loans and advances		
	Interest income from term loan (Note-20.1)	1,132,242,764	748,241,004
		1,132,242,764	748,241,004
20.1	Interest Income from Loans to Large Infrastructure Projects	1,000,167,997	672,635,343.62
	Interest Income from Loans to Sustainable and Eco-Friendly Projects	130,730,055	75,605,660.69
	Interest Income from Women Entrepreneurship Development Financing	1,343,988	-
	Interest Income from Staff Loan	725	-
		1,132,242,764	748,241,004.31
21	Interest expenses on deposits, borrowings etc.		
	Interest expense on BB Refinance Scheme	4,052,010	565,921
	Interest expenses on Borrowing in the form of SOD and STL	12,412,549	2,666,088
	Interest Expenses on Borrowing from JICA	15,946,875	-
		32,411,434	3,232,010
22	Investment income		
	Interest income from commercial paper (Note - 22.1)	25,631,806	117,144,444
	Interest Income from bond (Note - 22.2)	15,045,614	8,113,337
	Dividend Income from preference share (Note - 22.3)	47,373,277	49,964,827
		88,050,697	175,222,608
22.1	Interest income from Commercial Paper		
	LankaBangla Finance Ltd.	2,708,333	25,416,667
	Computer source Ltd.	200,000	5,625,000
	Max Infrastructure Ltd.	22,723,473	50,602,778
	Energy Pac Engineering Ltd.	-	11,666,667
	Durable Plastics Ltd.	-	23,833,333
		25,631,806	117,144,444
22.2	Interest Income from Bond		
	IDLC zero coupon bond	15,045,614	8,113,337
		15,045,614	8,113,337
22.3	Dividend Income from Preference Share		
	Summit Narayanganj Power Unit-II Ltd.	-	8,049,276
	Summit Barisal Power Ltd.	-	10,064,597
	Doreen Power House & Technologies Ltd.	7,353,425	-
	Rajlanka Power Company Ltd.	37,978,185	31,850,954
	Summit Ace Alliance Ltd.	2,041,667	-
		47,373,277	49,964,827

		Amount in Taka	
		31-Dec-18	31-Dec-17
23 Other operating income			
Interest revenue (FDR)	800,160,292	706,605,190	
Interest on short term loan (STL)	2,900,117	200,556	
Interest on SND	5,194,834	5,497,210	
Revenue from fees (Note - 23.1)	4,765,139	11,774,450	
Rental Income	2,570,940	5,831,392	
	815,591,322	729,908,798	
23.1 Revenue from fees			
Due diligence fees	1,361,739	990,363	
Loan application fees	383,400	880,000	
Participation fees	3,020,000	9,904,087	
	4,765,139	11,774,450	
24 Salary and allowances			
Salary and allowances	40,778,856	33,438,705	
Bonus	4,576,393	3,625,927	
Gratuity expenses	2,184,410	1,969,792	
	47,539,659	39,034,424	
25 Rent, taxes, insurance, electricity etc.			
Rent and taxes	2,276,533	1,784,298	
Electricity and WASA bill	2,427,380	1,093,718	
Health insurance premium	589,597	484,419	
Vehicle insurance premium	573,813	301,230	
	5,867,323	3,663,665	
26 Legal expenses			
Legal expense	586,333	362,721	
Renewal & registration	726,373	355,260	
Stamp cost	17,694	10,660	
	1,330,400	728,641	
27 Postage, stamp, telecommunication etc.			
Postage and courier	6,864	15,016	
Telephone, fax, internet and mobile	569,354	450,985	
Internet & networking expense	531,314	487,884	
Internet bandwidth charge(Broadband)	600,000	600,000	
	1,707,532	1,553,885	
28 Stationery, printing, advertisement etc.			
Printing and stationery	2,090,158	849,756	
Advertisement and publicity	9,505,374	2,715,260	
Books & periodicals	2,440	5,375	
Business development expenses	1,359,201	324,120	
Gift expenses	1,676,836	1,062,150	
	14,634,009	4,956,661	
29 Managing Director's salary and allowances			
Remuneration	8,740,490	7,694,676	
Bonus	1,037,120	1,346,400	
Gratuity expenses	475,000	514,800	
	10,252,610	9,555,876	
30 Directors' fees			
Directors' fees	1,348,024	1,257,088	
	1,348,024	1,257,088	
31 Auditors' fees	368,000	120,050	
32 Depreciation and repairs of company's assets			
Repairs & maintenances	2,425,514	2,031,849	
Depreciation on company's fixed assets (Annexure-A)	38,397,587	36,794,386	
Loss on disposal of assets	38,285		
	40,861,386	38,826,235	

		Amount in Taka	
		31-Dec-18	31-Dec-17
33 Other operating expenses			
Office maintenance		6,890,926	3,418,399
Training expenditure		2,552,130	1,233,216
Bank charge & commission		3,977,127	3,964,407
Entertainment expenses		2,062,918	1,801,972
Promotional expenditure		2,288,738	6,295,580
Consultancy and Professional Fees		735,400	255,606
AGM expenditure		1,207,899	1,184,000
Project site supervision expenses, travelling and conveyances		4,482,131	2,393,560
Board meeting expenses		416,909	1,400,826
Tax consultant fees		258,750	368,000
Recruitment expenses		906,570	357,000
Membership expenses		239,583	203,450
CIB charges		649,098	618,922
CSR expenses		2,462,178	1,846,742
IT maintenance		2,370,336	763,191
Prevention of anti money laundering, implementation of ethics committee and integrity		297,449	-
		31,798,141	26,104,871
34 Provision for investment, leases, loans and advances			
General Provision		48,724,229	30,858,449
Specific Provision		200,517,200	50,000,000
		249,241,429	80,858,449
35 Provision for income tax			
Current tax (Note-35.1)		768,477,974	641,851,639
Deferred tax (income)/expense during the period		1,752,485	(2,478,381)
		770,230,459	639,373,258
35.1 Current tax expense			
Income tax expense during the period		768,477,974	641,851,639
		768,477,974	641,851,639
36 Earning per Share			
Earning per Share (EPS) is calculated in accordance with <i>International Accounting Standard 33</i> . Earning per Share has been calculated as follows:			
Net profit after tax		828,294,378	804,107,298
Number of ordinary shares outstanding		210,800,000	210,800,000
Earning per Share (restated)		3.93	3.81

The EPS for the period ended 31 December 2017 is being restated as 4,900,000 no. of stock dividend was issued for the year ended 31 December 2017.

37 Related party disclosures

The company doesn't have any transaction with related party.

38 Listing Requirements

The Management understands that it is applicable for BIFFL to commence its IPO application process as per BSEC (Bangladesh Securities and Exchange Commission) notification no. SEC/CMRRCD/2006-159/36/Admin/03-44 dated 05 May 2010; which has wide ranging implications for the Company as a whole.

In this regard, the Company has made communication with BSEC vide letter no. BIFFL/CEO/1.14.3/408 dated 08 November 2017. BIFFL has made a Five-year strategic plan for the Organisation with the investment projection and probable sources of fund where it plans to start the process of raising capital/ fund through Initial Public Offerings (IPO). The Board of Directors of BIFFL, headed by the Secretary, Finance Division, Ministry of Finance, in its 55th Meeting held on 31-07-2017, accorded its consent to start working for IPO.



Amount in Taka	
31-Dec-18	31-Dec-17

39 Unacknowledged debt

The company had no claim against it which has not been acknowledged as debt at the balance sheet date.

40 Receivable from directors

No amount is due from any of the directors of the company.

41 Disclosure regarding branch

As at December 2018, the company has no branch in or outside Bangladesh.

42 Disclosure of Executive Committee

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee of the company comprising members from the Board and the committee met several times during the period 2018.

43 Rounding off

Monetary figures in the Financial Statements have been rounded off to the nearest Taka.

44 Authorization for issue

The Board of directors has authorised this financial statements for public issue on 21st February, 2019. Moreover, the Board of Directors at its 73rd meeting of the board held on 21 February 2019 recommended to the shareholders a cash dividend BDT20 crore. This will be considered for approval by the shareholders at the 8th Annual General Meeting (AGM) to be held on 20 March 2019.

45 Events after the reporting period

There are no events after reporting period.



Bangladesh Infrastructure Finance Fund Ltd.
Schedule of Fixed Assets & Intangible Assets
As at 31 December 2018

Particulars	Cost			Rate	Depreciation			Amount in Taka	
	Balance as at 01.01.18	Addition during the year	Disposal/ adjustment during the year		Balance as at 01.01.18	Charged during the year	Disposal/ adjustment during the year	Balance as at 31.12.18	Written down value As at 31.12.18
Computer & IT Equipment:									
Scanner & Printer	554,832.00	167,140	-	33.33%	721,972.00	140,097.53	-	460,261.39	234,668
Desktop & Laptop	4,061,036.00	1,791,000	384,375	33.33%	5,467,661.50	1,265,061.27	346,089	3,238,820.52	1,741,187
LT Pannel & PFI Plant & PABX & Others	817,082.00	8,294,606	-	33.33%	9,111,688.00	1,823,864.34	-	2,408,269.62	232,677
Multimedia Projector	319,200.00	222,000	-	33.33%	541,200.00	78,521.01	-	239,663.93	158,057
Projector Screen	20,000.00	-	-	33.33%	20,000.00	19,999	-	19,999.00	1
Wifi System	432,000.00	-	-	33.33%	432,000.00	143,985.60	-	365,289.89	210,696
Office Equipment									
Office Equipment	3,243,403.00	6,115,231.90	-	20%	9,358,634.90	909,067.59	-	1,985,585.99	2,166,885
HVAC	-	9,296,359.50	-	10%	9,296,359.50	140,082.13	-	140,082.13	-
Refrigerator	-	187,880.70	-	12.5%	187,880.70	3,538.85	-	3,538.85	-
Electric Meter	9,400.00	-	-	10%	9,400.00	940.00	-	5,640.00	4,700
Wasa Meter	5,980.00	-	-	10%	5,980.00	598.00	-	4,185.00	2,393
Civil Construction	1,536,612.00	-	-	50%	1,536,611	-	-	1,536,611.38	1
Building	291,527,555.00	-	-	10%	39,914,468	29,152,755.50	-	69,067,223.14	251,613,087
Furnitures & Fittings	2,612,026.00	30,929,721	-	10%	573,217	738,407.82	-	1,311,625.13	2,038,809
Vehicle	22,211,202.00	13,084,168	-	20%	13,621,189	4,000,666.95	-	17,621,856.42	8,590,013
Sub total	327,350,328.00	70,088,107	384,375		60,357,155	38,397,586.60	346,089	98,408,652.38	266,993,173
Intangible assets									
Website	172,500.00	-	-	50%	172,500	-	-	172,500.00	-
Accounting software	112,860.00	-	-	50%	112,860	-	-	112,860.00	-
Sub total	285,360.00	-	-		285,360	-	-	285,360.00	-
Total	327,635,688.00	70,088,107	384,375		60,642,515	38,397,586.60	346,089	98,694,012.38	266,993,173



Highlights
(As per Bangladesh Bank guidelines)

Annexure -B

Sl No.	Key Indicators	Amount in Taka	
		31-Dec-18	31-Dec-17
1	Paid-up capital	21,080,000,000	20,590,000,000
2	Total capital	23,322,437,802	22,644,143,424
3	Capital surplus	22,178,014,972	21,256,829,837
4	Total assets	30,148,654,129	25,822,384,167
5	Total deposits	-	-
6	Total leases, loans, and advances	16,977,708,408	10,719,748,885
7	Total contingent liabilities and commitments	-	-
8	Credit deposit ratio	-	-
9	Percentage of classified loans against total leases, loans, and advances	0.03%	0.00%
10	Profit after tax and provision	828,294,378	804,107,298
11	Amount of classified loans during current period	5,126,319	-
12	Provision kept against classified loans	517,200	-
13	Provision surplus against classified loan	-	-
14	Cost of fund	-	-
15	Interest earning assets	26,372,426,533	22,679,638,725
16	Non-interest earning assets	3,776,227,595	3,142,745,443
17	Return on investment (ROI)	0.06	0.07
18	Return on assets (ROA)	0.03	0.03
19	Income from investment	88,050,697	175,222,608
20	Earnings per share (EPS)	3.93	3.81
21	Net income per share	3.93	3.81
22	Market price per share	-	-
22	Price earning ratio (Times)	-	-

